Market demand validation rubric

Draft v0.1 for product owner review | 5 Nov 2026 | Status: candidate (not yet tested on real decisions)

What it answers: does a *specific* group of buyers really want a *specific* product, at a price that works? This is validating demand, not searching for markets. We name the buyers and the product first, then collect evidence and judge it.

Four rules (from the Strategic & Operating Blueprint v0.1)

- **No single score.** Each of the 8 questions is judged on its own. A strong area cannot hide a weak one.
- **Safety gates win.** If a gate is not confirmed, the result is blocked, however good the numbers look.
- **We may say "not enough evidence yet".** Too little evidence gives no verdict, not a weak one.
- **Clicks are not demand.** Only actions count: replies, sign-ups, commitments, payments.

1. The evidence ladder

Every piece of evidence is placed on a rung. Higher rungs are stronger. Only rungs 3 to 7 count as demand.

Rung	What it is	Examples	Counts as demand?
0	Simulation or AI output	synthetic personas, forecasts	Never
1	Desk research or expert opinion	reports, competitor prices, case studies	No: the problem *may* exist
2	Attention	ad clicks, page visits, emails sent	No: looking is not wanting
3	Interest	sign-ups, replies, survey answers, a stated price	Yes
4	Real conversation	interview or sales call with a decision-maker	Yes
5	Commitment	letter of intent, deposit, pre-order, signed pilot	Yes, strong
6	Paid and delivered	a paying customer	Yes, stronger
7	Repeat	re-order or renewal	Yes, strongest

For each item we also record: did it come from the target buyers? Is it independent (not our team, friends or existing customers)? How many people does it stand for?

2. The eight questions

Pass and fail levels are for small businesses. They are **our starting numbers, not published standards**, and should be adjusted after real tests. Larger buyers need fewer, deeper conversations.

#	Question	What we count (from target buyers)	Pass	Fail
1	Is the problem real for them?	interviews where the owner raises the problem unprompted	6 of at least 10	6+ do not recognise it
2	Is it urgent now?	owners already spending money or time on it, or using a workaround	4+	4+ say it can wait
3	Can we reach the buyers?	replies or sign-ups through a named channel	25+	100+ reached, no replies
4	Is it better than what they use today?	owners who say they would switch, and why	3+	6+ happy with what they have
5	Do they act, not just look?	sign-ups, replies, survey answers (never clicks)	25+	100+ saw it, nobody acted
6	Do they commit?	letters of intent, deposits, pre-orders, signed pilots	3+	10+ asked, none committed
7	Will they pay enough?	commitments at or above our minimum price	3+	all below the minimum
8	Can we trust the evidence?	number of sources and channels; share from independent people	3+ sources, 2+ channels, 70%+ independent	under half independent

Each question ends as **pass**, **partly** (some evidence, not enough), **fail** or **unknown**. Desk research alone can reach "partly", never "pass". If strong evidence points both ways (say 7 owners confirm the problem and 6 do not), the answer is "partly" and we split the buyer group instead of averaging it.

3. Safety gates

Gate	What must be confirmed	Applies from
Honest and permitted	claims are true, the seller is disclosed where it matters, people agreed to be contacted	the first public test
We can deliver	what people committed to can actually be supplied	the first commitment
Rules fixed first	the rubric version and the pass/fail rule were written down before seeing results	the first public test

4. Possible results (the first that fits)

Result	When	What to do next
Blocked	a safety gate is not confirmed	fix the gate first
Disproved	the problem is not felt, or buyers will not commit, or will not pay enough	independent review, then reframe or stop
Validated	questions 1, 2, 5, 6, 7 and 8 pass; 3 and 4 at least partly	independent review before scaling up
Promising	problem is real and buyers act, but commitment or price is not shown	run a commitment and price test
Problem confirmed	problem is real, but no offer has been shown yet	put a test offer in front of them
Not enough evidence	fewer than 5 real buyer actions, and nothing has failed	go and collect field evidence
Not validated	anything else	fill the gaps the report lists

5. How we collect the evidence

Steps in order. Anything that contacts people, publishes or spends needs a signed test charter first; in this phase people do those steps and Hipstraw records and reviews them.

Step	What it shows	Watch out for
1. Desk scan	the problem may exist; who sells what, at what price	says nothing about these buyers acting
2. About 10 owner interviews	whether the problem is felt and what it costs today	polite compliments; ask about what they *did*, not what they *would* do
3. Test offer page and outreach	can we reach them, and do they act	sign-ups are free to give; lists are noisy
4. Hand-delivered service for a few	whether they value the result	says nothing about cost at scale
5. Commitment test	letters of intent, refundable deposits, pre-orders	letters are often non-binding; always honour or refund
6. Price test	which price people accept	picking a plan is not paying
7. Assess against this rubric	the result, what is missing, next steps	the rubric itself is still a draft
8. Independent review	a second reader before a big decision	needs someone who did not run the test

6. Worked example: do small businesses need a Shadow Launch service?

Buyers: US B2B service and software firms, 10 to 100 staff, planning a new offer or market within a year (the Blueprint's suggested starting market). **Product:** a managed, low-visibility trial of a new offer in the real market, ending in a reviewed go, change or stop decision.

> **Result today: not enough evidence yet.** We have 27 desk sources and no evidence from real buyers. Partly shown: the problem is real (Q1), it matters (Q2), and today's options leave a gap (Q4). Everything else is unknown. **Next:** about 10 owner interviews, then a test offer and outreach, then a commitment and price test, then assess again.

How did 10 well-known companies test before launching?

Company	How they tested	What they saw
Buffer	two-page "fake door" site, then a pricing page	emails; a few clicked paid plans
Dropbox	demo video before launch	75,000 waitlist sign-ups in a day
Zappos	took orders for shoes photographed in local stores	real orders before holding stock
Groupon	a simple blog and emailed PDF coupons	up to 500 coupons sold a day
DoorDash	one-day prototype; founders delivered	first order in 30 minutes
Food on the Table	service delivered by hand	real use; dropped as too costly
Innocent Drinks	festival stall; buyers voted with empty bottles	"yes" bin full
Allbirds	crowdfunding pre-orders under another name	target hit in about a day
Harry's	referral waitlist	100,000 emails in a week
Supercell	quiet launch in two countries	too few players; game stopped

Answer: all ten tested small and early in the real market, and did it themselves. Only one used a different name, and not as a stated tactic. Deliberate hidden-brand tests show up at large companies (Starbucks, Facebook). These are famous successes, so the list is biased; the real answer for small firms must come from interviewing them.

What buyers can use today (prices checked 4 Nov 2026): do-it-yourself test pages and waitlists, $9 a year to $149 a month; AI idea-validation reports, free to $179; managed validation sprints, from $4,500; enterprise research tools, $20,000 to $100,000 a year. Nothing is sold as a "shadow launch". Half of small businesses spend under $1,000 a month on all marketing, so price will decide a lot: a managed service around $1,000 to $3,000 looks thinly served, but only buyer commitments can confirm it.

7. Interview questions (step 2)

Ask about what happened, not opinions of the idea. Record companies, never people's names.

- Tell me about the last new offer or market you launched. What happened?
- Before launch, how did you check people wanted it? What did that cost?
- What did you learn too late, and what did it cost you?
- Who decides to launch, and who pays for checking first?
- What do you use for this today: an agency, a tool, your team, nothing?
- Is another launch planned? When? What would you do differently?

End with a real ask: a call with the decision-maker, or a letter of intent for a paid trial.

8. Honesty rules

- "Shadow" means low-visibility, not deceptive. Claims must be true and backed by evidence.
- Pre-orders and deposits: ship on time or get the buyer's consent to a delay; refund cancellations within 7 working days (US FTC mail and internet order rule).
- Fulfil or refund every commitment. Never keep money for something we will not deliver.

9. Decisions needed for review

#	Decision
1	**Buyers:** start with small B2B service and software firms, or test "small businesses" broadly? Broad groups risk mixed results.
2	**Minimum price** for a trial. Until it is set, question 7 cannot be judged.
3	**Pass and fail levels:** are 10 interviews, 25 sign-ups and 3 commitments right?
4	**Brand:** show Hipstraw on the test offer, or a neutral name with the seller disclosed?
5	**Roles:** who does the independent review, who writes the expected answers for test cases, and who signs the test charter?

Status and testing. The rubric runs in Hipstraw today and has passed 9 tricky test cases (only simulations, only clicks, friends-and-family, a missing gate, commitments below price, mixed results, and clear pass, fail and promising cases). The expected answers were written by the rubric's author, so someone else should write the next set before it is called tested. Until then it should guide thinking, not decide alone.

Sources (checked 4 Nov 2026): CB Insights startup failure reasons (2026); LivePlan early-stage owner survey (2023); Duke Fuqua research on startup testing (2021); Management Science randomised trial of 116 startups (2020); U.S. Bank small business survey (2026); LocaliQ small business marketing report (2026); US Census business formation statistics; US FTC advertising and mail-order guides; vendor pricing pages; published company histories. Full links are in docs/market_demand_validation.md.